



N PADMAVATHY (sitting)

and six others

BUSINESS: Tailoring in Chennai

LOAN: Rs 15,000 for each has made entrepreneurs of these daily-wage workers

IMPACT: Today, they are the proud owners of an export unit which stitches polo shirts and garments for an exporter who caters to leading European brands

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per cent of our population engaged in formal banking, India has the second highest number of financially excluded households in the world—13.5 crore.

Categorised by income, this segment sits just above the poorest of poor and just below customers who are targeted by most banks. India has 9.1 crore households that fit the category of Next Billion. A typical segment in this category in a large metropolitan city earns between Rs 60,000 and Rs 1,80,000 annually. From SKS Microfinance, the poster-boy of micro-finance industry in India, to ever-mushrooming new players, everyone is targeting the urban poor. SKS has created a new vertical for urban areas and already has 2.5 lakh customers across cities in 18 states of India. Says K.S. Rao, vice-president, SKS Microfinance: "As people

migrate to urban areas, there is a need to cater to the needs of urban poor as large banks and Indian and foreign-owned non-banking financial companies are not equipped to cater to this population." SKS, which already has 100 branches across cities, intends to scale its urban operations to 6.11 lakh customers by 2009.

Believing in the power of the nano customer, MFIs are catering to credit needs of micro-entrepreneurs in urban and large metropolitan areas, so that they can expand their businesses, fund emergencies, children's education and meet their housing needs. Given that this segment is unable to provide either documentation or collateral, MFIs are following the joint liability training methodology to cushion their exposure. So if anyone wishes to take a loan,

they have to form a group of five or six members and undergo training. The group then has the joint responsibility for the outstanding loans of the members. The collateral is social and the team assures repayment of the loan. The cost of membership is typically Rs 50 and the loan size in the first year ranges between Rs 4,000 and Rs 15,000. According to Veena Mankar, CEO of Mumbai-based MFI Swadhaar: "Urban poverty is not seen in the same light as rural poverty. The urban poor make money but it's their living conditions that are very difficult. Urban growth cannot happen till the poor get equal opportunity."

While banks may still be trying to work out the models for credit rating of retail consumers, MFIs are successfully rating their consumers on the basis of repayment records. In the first year, borrowers get not more than Rs 10,000, which they repay over 50 installments. Says Samit Ghosh, CEO of Bangalore-based Ujjivan: "Our rate of repayment is 99.3 per cent." If the repayment track record is good, the next year they become eligible for bigger

M. SELVI

BUSINESS: Rent-a-cycle business in Chennai

LOAN: Rs 15,000 to buy more bicycles for expanding her business

IMPACT: She has doubled her monthly income from Rs 2,000 to Rs 4,000



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UJJIVAN in Delhi, Bangalore and Kolkata with Rs 50 crore outstanding loans to 1,00,000 borrowers, lends mainly to joint liability groups for small businesses.

SKS in Patna, Bhubaneswar, Nagpur with 2.5 lakh borrowers, offers, among others, an emergency loan of up to Rs 2,000 a year at no interest.